

This material is neither intended to be distributed to Mainland China investors nor to provide securities investment consultancy services within the territory of Mainland China. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan.

ESS Battery

August shipments+100% y/y and +6% m/m; ESS battery & system prices rose

While CATL H/A shares declined 9% over the past two trading days (vs. flat CSI300) on concerns over a slower Sep-Oct battery production outlook, ICCSino's latest August ESS shipment data suggests underlying ESS demand momentum remains robust. Global ESS battery shipments reached 112GWh in Aug-26, up 100% y/y and 6% m/m, bringing 8M26 shipments to 725GWh (+97% y/y). This trajectory points to potential upside to J.P. Morgan's FY26 forecast of 1.1TWh, implying 78% y/y growth. Industry-average ESS battery prices also increased 2.7% m/m in August, reflecting the pass-through of the 2% domestic consumption tax.

Looking ahead, ICCSino's survey indicates sampled ESS battery makers are planning for 3-4% m/m production growth in September. While October schedules have yet to be finalized, leading suppliers expect volumes to remain stable to slightly higher m/m, suggesting limited signs of a meaningful slowdown. Visibility should improve further after the Mid-Autumn Festival.

Overall, we continue to see ESS demand as healthy, with positive shipment momentum likely extending into 4Q26. Within J.P. Morgan's Asia ESS universe, our top picks remain **CATL** (global leader continuing to gain share outside the US), **Sungrow** (potential re-rating from direct data center exposure and emerging use cases), **Deye** (leveraged to distributed-generation ESS and fast-growing emerging markets), as well as **LGES** and **SDI** (well positioned for US ESS opportunities). ESS is also becoming increasingly important for **BYD**, accounting for more than 20% of its total battery shipments in 2026.

US ESS installations+15% y/y

- **US ESS (BESS) installations in 7M26:** US BESS installations reached 1.1GW in Jul-26, down 34% y/y, as per the EIA, bringing 7M26 to 9.7GW, up 15% y/y. Despite the volatility in monthly installations (up 74% y/y in June and down 34% y/y in July), we continue to see strong US BESS demand in 2026, in part due to a tight power market from AIDC.

China ESS project registrations >50% y/y and system tender +88% y/y in 1H26

- **ESS tender and project registration volumes support our positive stance on 2027 ESS installation outlook:** Per China Energy Storage Alliance ([link](#)), China's new ESS project registration volume reached 263GW/665GWh in 1H25. Separately, Solarbe Energy Storage ([link](#)) reported 401GW/1,030GWh of new ESS project registrations in 1H26. While these figures come from different sources and may not be strictly comparable, they still point to a clear pick-up in registration activity, implying >50% y/y growth. While we acknowledge there is typically leakage from project registrations to tenders to actual installations, we believe comparing y/y trends remains a useful indicator for future installation momentum. Per CNESA ([link](#)), ESS system tender

Asia Autos & EV Battery

Rebecca Wen ^{AC}

(852) 2800-8505
rebecca.y.wen@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Alan Hon ^{AC}

(852) 2800-8573
alan.hon@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Cathy Liu

(852) 2800-8629
cathy.xiao.liu@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Daqi Jiao

(852) 2800-8595
daqijiao@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Sonny Lee

(82-2) 758 5716
sonny.lee@jpmorgan.com
J.P. Morgan Securities (Far East) Limited, Seoul Branch

Parsley Ong

(65) 6882-8578
parsley.rh.ong@jpmorgan.com
J.P. Morgan Securities Singapore Private Limited/ J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Nick Lai

(65) 6801-3176
nick.yc.lai@jpmorgan.com
J.P. Morgan Securities Singapore Private Limited/ J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Stephen Tsui, CFA

(852) 2800-8592
stephen.tsui@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

volumes in 1H26 totaled 24.5GW/148.1GWh (-3.4%/+88.3% y/y), while ESS EPC tender volumes in 1H26 reached 80.1GW/227.9GWh (+98.7%/112.2% y/y). We view these data points as supportive of our positive stance on China's ESS installation outlook in 2027. For details, please refer to our report ([link](#)).

- **Shandong issued a notice to support the expansion of co-located ESS.** In late August 2026, Shandong's energy authorities released a notice ([link](#)) to accelerate deployment of co-located storage at wind and solar farms. The policy encourages wind & solar farms with existing co-located storage to add more ESS capacity based on operating needs, provided it can be centrally controlled with a unified dispatch interface. Expansion approvals are simplified for extending the battery duration and small add-ons (within a 5% cap). The directive also calls to expand scope in power market trading by transforming to a co-located renewable plus storage project type. **J.P. Morgan view:** In China, wind/solar farms may not have full access to the power trading market. In some instances, solar farms are not allowed to trade power during the evening. In other words, this limits the incentive for ESS co-location even if power prices at midday are very low. Shandong's policy would allow existing wind/solar farm owners to alleviate some of the power price pressure from market liberalization by installing co-located ESS. It is also possible that more provinces will follow, which could become an important driver of China's ESS installation growth.

ESS system prices up 5-15%; battery cell prices up 2-3% on consumption tax

- **Sungrow has raised solar & ESS product pricing by 5-15%.** The company increased prices across its PV inverter, energy storage converter, and energy storage system product lines by 5-15% starting 20 September 2026, citing sustained upstream cost pressures (e.g., copper, aluminum, tin, silver, and gold) and tighter supply of key components. Existing signed or placed orders will continue to follow the original pricing. We believe the price increase should help ease concerns around Sungrow's margin profile while reducing the risk of price-led competition. Given the strong ESS installation outlook, we expect Sungrow to pass through higher costs to customers in a relatively orderly manner, and we maintain our OW rating.
- **ESS battery prices rose 2.7% m/m, mainly reflecting consumption-tax pass-through.** Industry-average ESS battery prices increased 2.7% m/m. This marked the first monthly price increase following three consecutive months of flat pricing. YTD26, ESS battery price of Chinese players has increased 12% by far. **J.P. Morgan view:** We believe the increase mainly reflected battery makers' efforts to pass through the 2% domestic battery consumption tax effective from September 1, 2026. Meanwhile, we believe increasing discipline around capacity expansion, together with sustained high utilization rates among leading suppliers, should continue to support ESS battery prices.

Global ESS battery shipments: +6% m/m in August and +97% y/y in 8M26

- **Global ESS battery shipment growth further accelerated in August, supported by resilient China demand and robust exports to the EU and RoW.** Shipments accelerated to 112GWh, up 100% y/y and 6% m/m, versus 88% y/y and 5% m/m growth in July. China remained the main growth engine, with domestic shipments rising nearly 200% y/y, while Chinese suppliers' shipments to the EU and RoW increased 120% and 136% y/y, respectively. Supply remained highly concentrated among Chinese producers, which accounted for 97% of global shipments in 8M26, while demand was more geographically balanced, with overseas markets representing 54% of shipments and China domestic demand the remaining 46%.

- **Chinese ESS battery shipments remained robust across the EU and RoW, while US sourcing continued to shift toward KR/JP suppliers.** In 8M26, Chinese suppliers' shipments to the EU and RoW increased ~120% and 136% y/y, respectively, with the two markets together accounting for 45% of Chinese suppliers' end-market mix, including 19% for the EU and 26% for RoW. By contrast, the US represented only 8% of Chinese suppliers' shipments, as sourcing continued to shift toward Korean and Japanese battery producers. US battery import data corroborate this relative shift, with China-origin battery imports down 62% y/y in 7M26 as OBBBA regulations continue to reshape US sourcing.
- **Chinese government's battery capacity controls: 2027 may see easing supply-demand dynamics, but not a repeat of the 2023-24 overcapacity cycle:** Our understanding is that recent discussions mainly concern tightening approvals for new battery capacity projects, rather than restricting existing production or shipments. As such, we do not believe the measures will constrain industry production volumes. However, more stringent approval requirements, together with delays or suspensions affecting some planned projects, could result in actual capacity additions falling short of currently announced plans. The current capex cycle also differs meaningfully from the aggressive expansion phase in 2021-22, when capacity additions were broad-based across industry leaders, smaller players and new entrants, many of which expanded before securing meaningful customer orders. This time, expansion has become significantly more disciplined, reflecting tighter financing conditions, the broad withdrawal of local-government subsidies and more demanding project economics. We expect supply-demand dynamics to ease in 2027, but do not anticipate a repeat of the severe overcapacity cycle seen in 2023-24. Exceptionally high utilization rates are neither sustainable nor necessarily desirable, as they leave limited room for operational flexibility, equipment maintenance and demand volatility. In our view, utilization normalizing toward 80-85% would represent a healthier operating level rather than evidence of oversupply.

Recommendations

The table below summarizes the key relevant stocks under J.P. Morgan Asia equity coverage and their exposure to the ESS business.

- **Largest PCS supplier – Sungrow (OW):** Sungrow is the world's largest solar inverter producer by volume, gaining market share in recent years due to cost advantage. Sungrow offers superior product quality and stronger brand recognition compared to domestic peers. We expect Sungrow to benefit from robust ESS demand and rising orders from utilities and data centers.
- **Deye (OW)** is a distributed generation (DG) energy storage producer with first-mover advantage in emerging markets. Near term, energy supply shocks are accelerating DG solar+storage adoption, especially where diesel DG was prevalent. Longer term, policy may shift toward resilience, supporting sustained growth. Deye's appliance legacy supports cost leadership via rising in-house fabrication.
- **China ESS battery: CATL (OW)** is the largest ESS battery maker globally and our top pick in China's battery value chain. **EVE Energy (N)** has the highest ESS exposure among covered battery makers, followed by **CALB (OW)**. We also favor **BYD (OW)**, given strong demand for its EV models in overseas markets and benefits from vertical integration in EV and ESS.
- **Korean battery players see improved opportunities and margins in US ESS.** **LGES's (OW)** ESS order win momentum has been strong, and we estimate that the company has the largest LFP ESS order backlog among Korean battery makers. **SDI's (OW)** ESS visibility is also improving: US battery import data indicate that China-origin shipments have fallen further since July 2025 (post-OBBBA), while Korea-origin (largely SDI)

shipments have risen sequentially, supporting an ongoing sourcing shift as US regulations remain effective.

Summary of ESS-related stocks under J.P. Morgan coverage

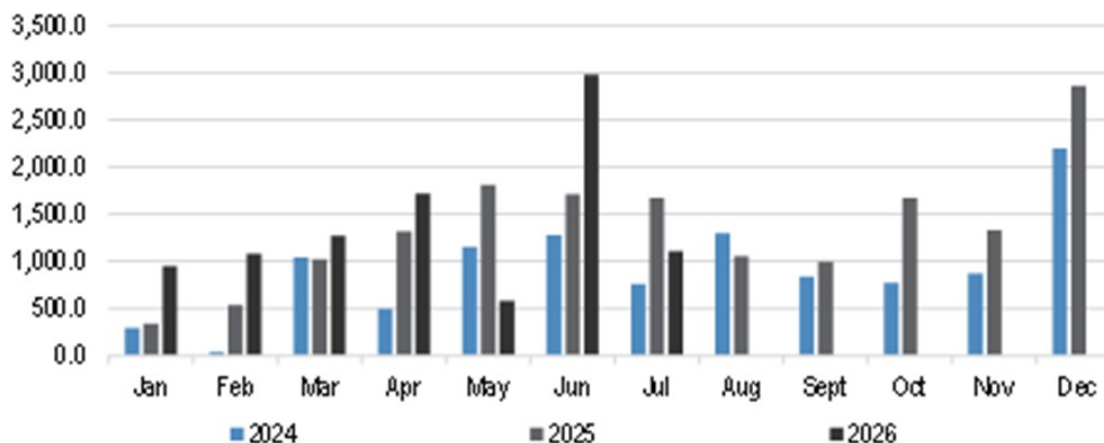
Table 1: Summary of ESS value chain stocks under J.P. Morgan coverage

Company	Ticker	Cover Analyst	JPM Rating	ESS business	ESS revenue exposure			ESS volume exposure		
					FY25A	FY26E	FY27E	FY25A	FY26E	FY27E
CATL	300750 CH	Rebecca Wen	OW	ESS battery	15%	20%	24%	18%	25%	29%
CALB	3931 HK	Rebecca Wen	OW	ESS battery	32%	26%	29%	41%	39%	42%
EVE Energy*	300014 CH	Rebecca Wen	N	ESS battery	40%	38%	40%	59%	54%	56%
Gotion	002074 CH	Rebecca Wen	UW	ESS battery	19%	21%	24%	30%	33%	37%
BYD-H	1211 HK	Nick Lai	OW	ESS battery	4%	5%	n/a	20%	27%	n/a
LGES	373220 KS	Parsley Ong	OW	ESS battery	13%	33%	41%	8%	23%	31%
Samsung SDI	006400 KS	Sonny Lee	OW	ESS battery	22%	30%	31%	33%	44%	49%
Sungrow	300274 CH	Alan Hon	OW	PCS+EMS+integration	42%	61%	62%	n/a	n/a	n/a
Deye	605117 CH	Alan Hon	OW	PCS+battery packs	74%	86%	89%	n/a	n/a	n/a
Nari	600406 CH	Stephen Tsui	OW	BMS+PCS+EMS+integration	<10%	n/a	n/a	n/a	n/a	n/a

Source: Company data, J.P. Morgan estimates. Note: ESS battery may include BMS or system integration. EVE's ESS volume exposure refers to ESS battery volume over total power battery, not including consumer battery. Note: Gotion's FY25 exposure is JPM's. Note: SDI's total revenue includes electronic materials and small battery, while volume excludes electronic materials and small battery.

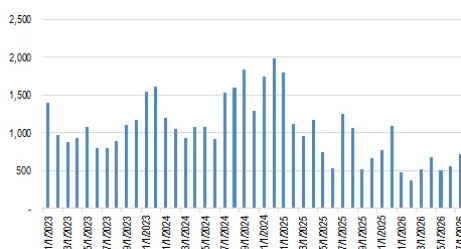
US ESS installation and battery imports

Figure 1: US BESS installations (MW)



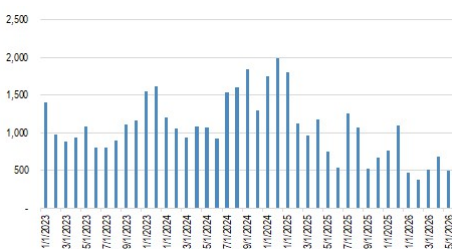
Source: EIA.

Figure 2: US: China battery imports (\$mn) -62% y/y in 7M26



Source: United States International Trade Commission.

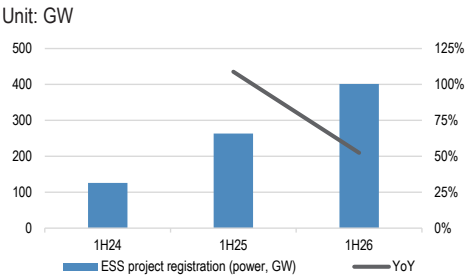
Figure 3: US: Korea battery imports (\$mn) -1% y/y in 7M26



Source: United States International Trade Commission.

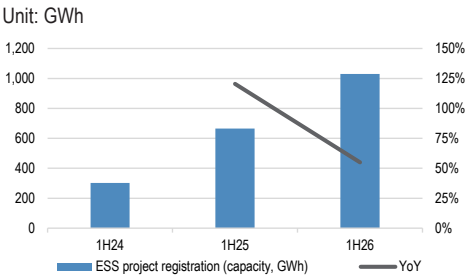
China ESS project registrations and tender volume

Figure 4: China's new ESS project registration volume (GW)



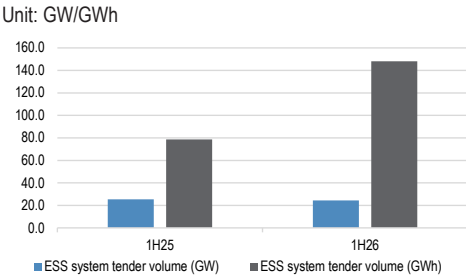
Source: CESA, Solarbe Energy Storage.

Figure 5: China's new ESS project registration volume (GWh)



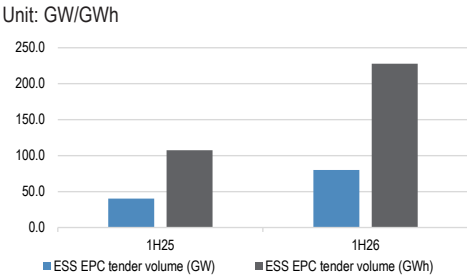
Source: CESA, Solarbe Energy Storage.

Figure 6: China's ESS system tender volume (GW/GWh)



Source: CNESA.

Figure 7: China's ESS EPC tender volume (GW/GWh)



Source: CNESA.

Summary of latest ESS battery production and shipment trends

Table 2: Summary of ESS battery production trends

GWh	2025		1Q26			2Q26			8M26	
	Production	Y/Y	Production	Q/Q	Y/Y	Production	Q/Q	Y/Y	Production	Y/Y
Global ESS battery production	609.1	76%	224.7	11%	119%	285.5	27%	109%	727.9	111%
By battery producer country:										
KR/JP battery players	19.9	121%	7.9	-5%	192%	10.1	27%	195%	25.8	182%
CH battery players	589.2	75%	216.8	11%	117%	275.4	27%	107%	702.1	109%

Source: ICCSino, J.P. Morgan.

Table 3: Summary of ESS battery shipment trends (monthly)

GWh	26-Aug	Y/Y	M/M	Mix
Global ESS battery shipments	111.6	100%	6%	100%
KR/JP battery players	3.8	170%	3%	3%
CH battery players	107.8	99%	6%	97%
Global ESS battery shipments by end-demand region	111.6	100%	6%	100%
China domestic demand	51.8	198%	5%	46%
Ex-China demand	59.8	56%	6%	54%
China exports (direct exports + exports by ESS customers)	55.8	51%	6%	50%
JP/KR players	3.8	170%	3%	3%
Chinese player shipments by end-demand application	107.8	99%	6%	100%
Utility-scale	78.2	80%	6%	73%
Commercial & Industrial (C&I)	13.9	180%	8%	13%
Telecom base station	1.7	110%	-5%	2%
Residential	12.7	171%	8%	12%
Portable	0.4	95%	0%	0.4%
UPS	1.0	1920%	4%	0.9%
Chinese player shipments by end-markets	107.8	99%	6%	100%
China	51.8	198%	5%	48%
US	7.7	-51%	11%	7%
EU	21.4	118%	6%	20%
RoW	26.6	136%	5%	25%

Source: ICCSino, J.P. Morgan. Note: Utility storage includes photovoltaic and wind power energy storage and independent energy storage power stations.

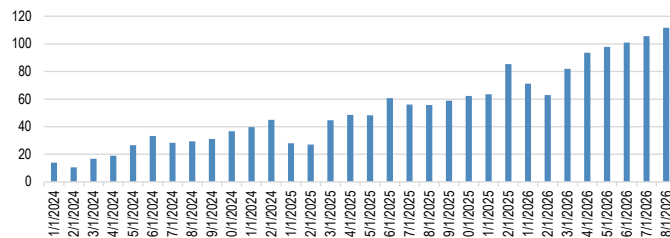
Table 4: Summary of ESS battery shipment trends (YTD)

GWh	2025	Y/Y	Mix	8M26	Y/Y	Mix	1Q26	Y/Y	2Q26	Q/Q	Y/Y
Global ESS battery shipments	638.8	93%	100%	725.5	97%	100%	215.9	117%	292.4	35%	86%
KR/JP battery players	17.3	87%	3%	24.6	185%	3%	7.0	173%	10.0	43%	200%
CH battery players	621.5	94%	97%	700.9	95%	97%	208.9	115%	282.4	35%	83%
Global ESS battery shipments by end-demand region	638.8	93%	100%	725.5	97%	100%	215.9	117%	292.4	35%	86%
China domestic demand	256.8	66%	40%	331.3	155%	46%	90.0	148%	135.3	50%	137%
Ex-China demand	381.9	118%	60%	394.1	65%	54%	125.9	105%	157.0	25%	56%
China exports (direct exports + exports by ESS customers)	364.7	120%	57%	374.2	63%	52%	118.9	102%	147.0	24%	52%
JP/KR players	17.3	87%	3%	24.6	185%	3%	7.0	173%	10.0	43%	200%
Chinese player shipments by end-demand application	621.5	94%	97%	700.9	95%	97%	208.9	115%	282.4	35%	83%
Utility-scale	501.2	97%	81%	529.6	83%	76%	166.1	109%	211.4	27%	74%
Commercial & Industrial (C&I)	54.9	104%	9%	82.0	155%	12%	22.3	140%	32.9	47%	154%
Telecom base station	10.0	-2%	2%	10.7	70%	2%	2.8	29%	4.4	56%	75%
Residential	51.8	110%	8%	72.8	138%	10%	17.1	248%	31.2	83%	91%
Portable	2.5	-8%	0%	2.4	41%	0%	0.6	-6%	1.0	62%	54%
UPS	1.0	-32%	0%	3.7	357%	1%	0.2	-46%	1.5	619%	372%
Chinese player shipments by end-markets	621.5	94%	97%	700.9	95%	97%	208.9	115%	282.4	35%	83%
China	256.8	66%	40%	331.3	155%	46%	90.0	148%	135.3	50%	137%
US	132.7	126%	21%	52.7	-43%	8%	19.0	-25%	19.0	0%	-47%
EU	104.2	140%	17%	135.9	126%	19%	38.1	217%	56.1	47%	97%
RoW	127.7	101%	21%	179.1	132%	26%	55.3	160%	71.9	30%	120%

Source: ICCSino, J.P. Morgan. Note: Utility storage includes photovoltaic and wind power energy storage and independent energy storage power stations.

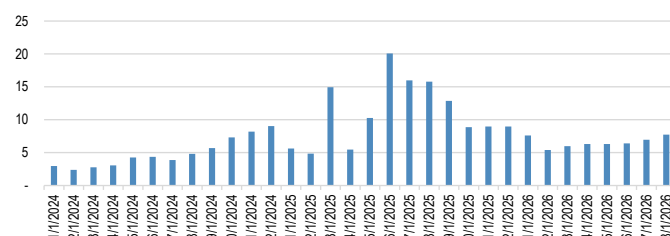
ESS battery demand in different regions

Figure 8: Global ESS battery shipments (monthly) (Unit: Gwh)



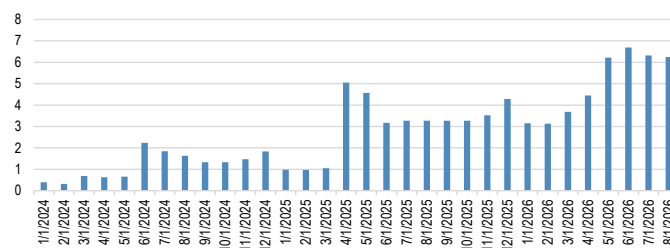
Source: ICCSino

Figure 10: Chinese players' ESS battery exports to the US (monthly) (Unit: Gwh)



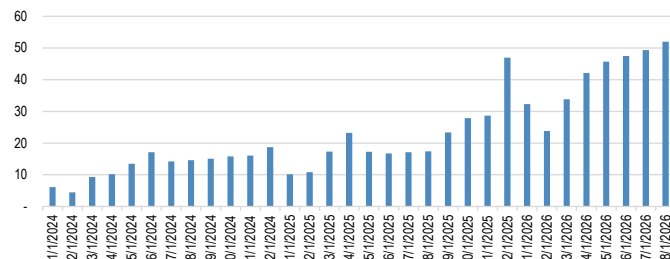
Source: ICCSino

Figure 12: Chinese players' ESS battery exports to the EU residential market (monthly) (Unit: Gwh)



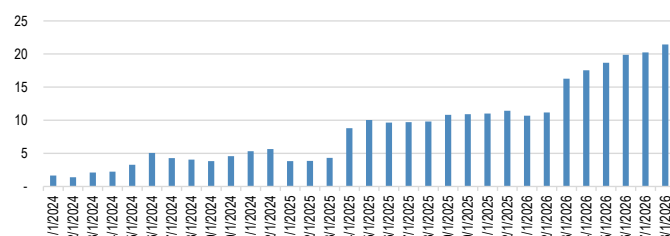
Source: ICCSino.

Figure 9: China domestic demand ESS shipments (monthly) (Unit: Gwh)



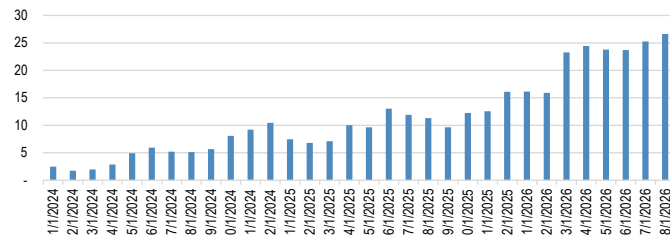
Source: ICCSino

Figure 11: Chinese players' ESS battery exports to the EU (monthly) (Unit: Gwh)



Source: ICCSino

Figure 13: Chinese players' ESS battery exports to RoW (markets excluding China, the US and the EU) (monthly) (Unit: Gwh)



Source: ICCSino.

ESS battery inventory trends

Table 5: Chinese players' ESS battery production, shipment and inventory trends

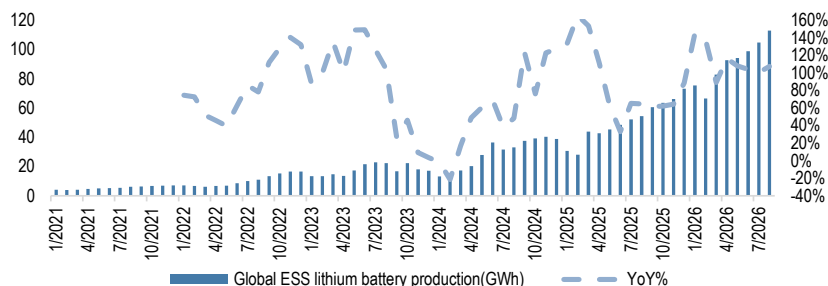
GWh	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	FY25		26-Jan	26-Feb	26-Mar	26-Apr	26-May	26-Jun	26-Jul	26-Aug
Industry production volume	100	133	162	194	217	275	589		73	64	80	89	91	96	101	109
Industry shipment volume	97	154	166	205	209	282	622		69	61	79	90	94	98	98	108
Inventory changes	3	-21	-4	-10	8	-7	-32		4	3	1	-1	-4	-2	4	1

Source: ICCSino

Global ESS battery volume trend

Global ESS battery shipments slowed on m/m growth due to capacity constraints, but maintained strong y/y momentum, up 97% y/y YTD on top of 93% y/y in FY25. Growth is driven by: (1) strong China exports, supported by surging demand from emerging markets and the EU; (2) strong China domestic demand, fueled by Doc136, Doc114 and supportive national/provincial policies.

Figure 14: Global ESS battery production trend

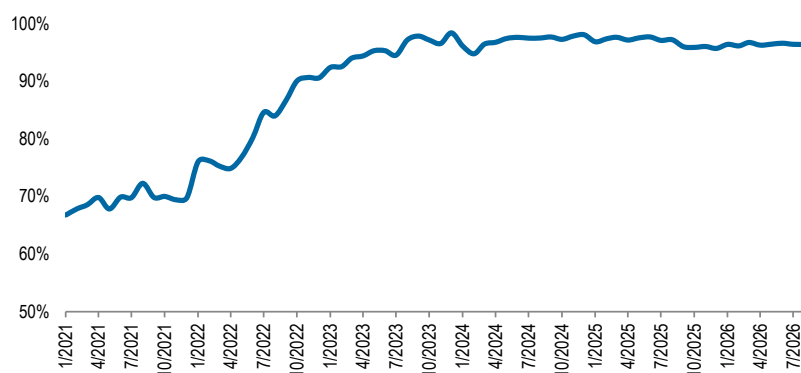


Source: ICCSino

Chinese players' ESS battery volume trend

Chinese battery manufacturers have held a 97% global share YTD (flat vs. 97% in 2025/2024).

Figure 15: Chinese ESS battery players' market share as a % of global (based on production)



Source: ICCSino

Sales by region analysis

According to ICCSino data, China's domestic market accounted for 46% of Chinese ESS battery shipments in 8M26, up from 40% in 2025, while RoW, the EU and the US represented 26%, 19% and 8%, respectively. Shipment growth remained robust across all regions except the US, with China domestic volumes up strongly and shipments to the EU and RoW increasing 118% and 136% y/y, respectively. By contrast, Chinese suppliers' shipments to the US continued to decline, reflecting the ongoing OBBBA-driven shift toward Korean and Japanese suppliers.

Chinese battery players' shipment breakdown by region (8M26):

- **CATL:** Domestic sales mix had increased from 23% in 2025 to 35% in 2Q26, potentially dragging on CATL's profitability. Outside of the domestic market, CATL had ~17% sales mix in US, 17% in EU and 30% in RoW in 2Q26.

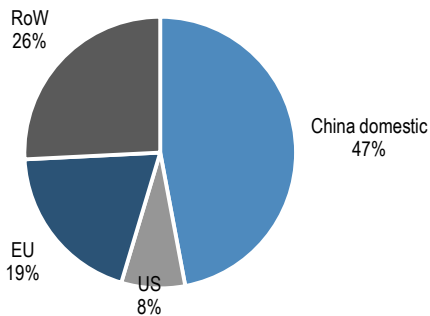
Chinese players' market share by region (8M26):

- **Global:** CATL ranked #1, followed by EVE, Hithium and BYD.
- **China:** The market is highly competitive with low concentration; CATL held a **16%** share (up from 14% in 2025, down from 25% in 2024). We expect CATL to continue gain share in 2026 post Doc136 policy and with capacity expansion.
- **US:** CATL led, with a ~60% share, followed by Hithium and EVE among Chinese suppliers.
- **EU:** CATL held a ~20% share, followed by EVE, Rept and BYD.
- **RoW:** CATL held a ~30% share, followed by EVE, BYD, Rept and CALB.

By end application:

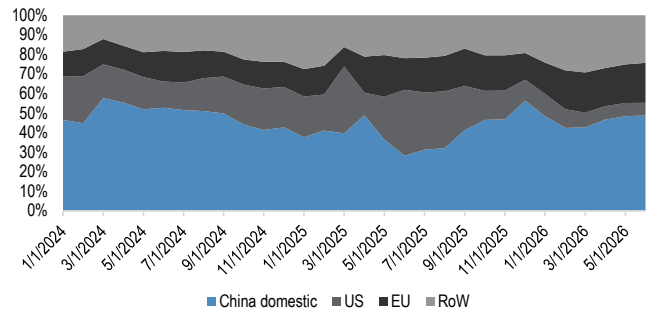
- **Utility-scale ESS:** China accounted for a ~50% share (up from 42% in 2025); regional and player breakdowns were similar to the overall market.
- **Residential ESS:** The EU held a ~60% share; China's residential market was negligible. Rept, EVE and Great Power were the top three globally (EU, US, RoW), collectively holding a 67% share, followed by BYD.

Figure 16: Chinese players' ESS battery shipments by region (YTD)



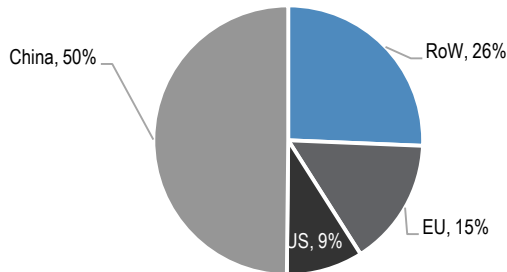
Source: ICCSino

Figure 17: Chinese players' ESS battery shipments by region



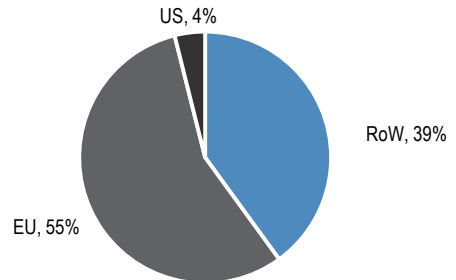
Source: ICCSino

Figure 18: Chinese players' utility-scale ESS battery shipments by region (YTD)



Source: ICCSino

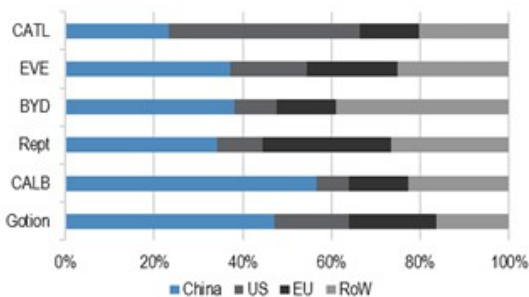
Figure 19: Chinese players' residential ESS battery shipments by region (YTD)



Source: ICCSino

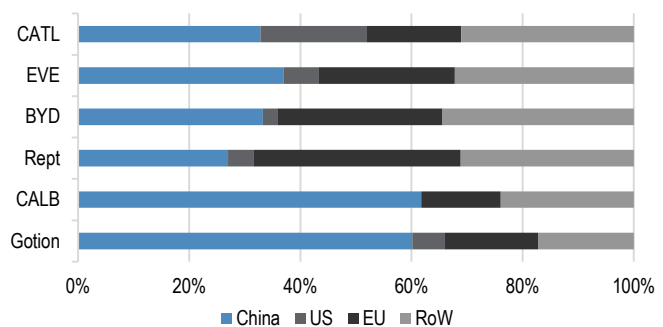
Chinese battery makers' sales mix by region

Figure 20: Chinese players' ESS battery shipments by region (FY25)



Source: ICCSino

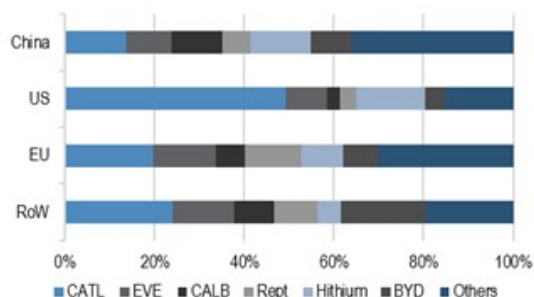
Figure 21: Chinese players' ESS battery shipments by region (YTD)



Source: ICCSino

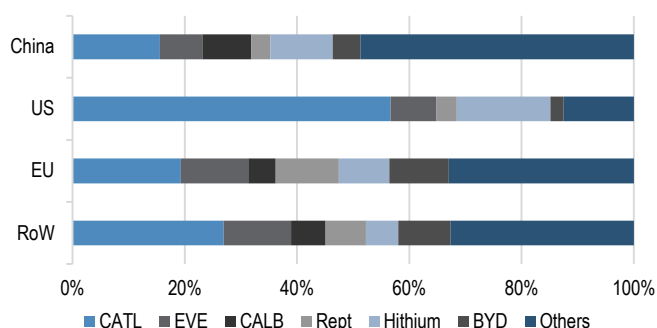
Market share by region (among Chinese suppliers only)

Figure 22: Chinese players' market share in each ESS battery market (FY25)



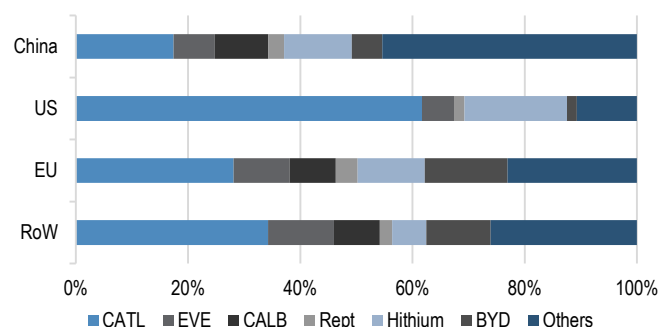
Source: ICCSino, J.P. Morgan. Note: Market share among Chinese suppliers only.

Figure 23: Chinese players' market share in each ESS battery market (YTD)



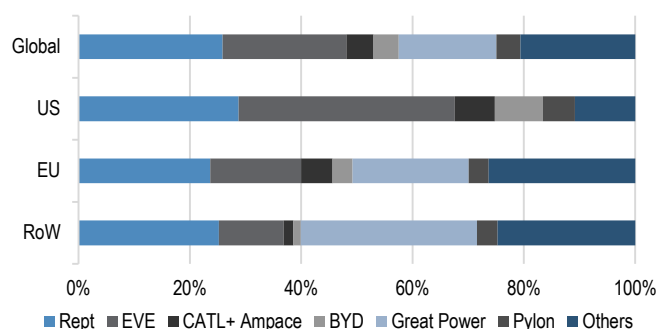
Source: ICCSino, J.P. Morgan. Note: Market share among Chinese suppliers only.

Figure 24: Chinese players' market share in each utility-scale ESS battery market (YTD)



Source: ICCSino, J.P. Morgan.

Figure 25: Chinese players' market share in each residential ESS battery market (YTD)

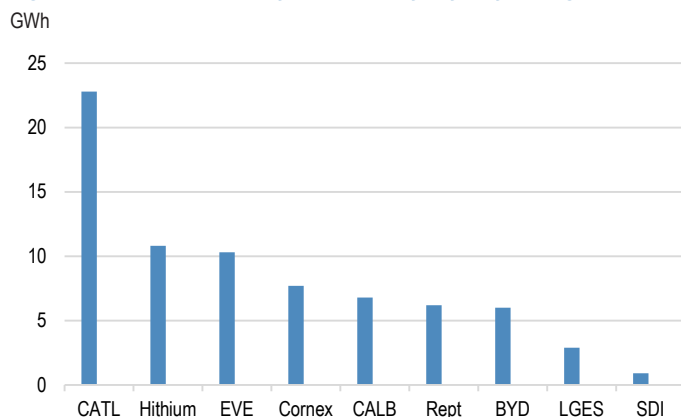


Source: ICCSino, J.P. Morgan.

Global ESS battery production volume by player

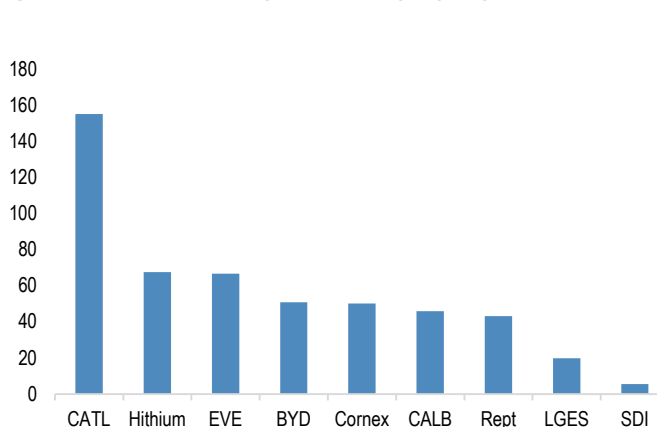
CATL maintains its global leadership in ESS battery production and shipment volumes. A 10 ppt drop in market share in 2025 vs. 2024 was attributable mainly to capacity constraints. CATL's market share further decreased 2% in YTD26, according to ICCSino data. The tier-2 battery players like BYD, EVE, Hithium and CALB saw their market shares fall ~2ppts. Conversely, tier-3 players such as Great Power, Ganfeng and Cornex saw their market shares increase ~2-3ppts. We believe the shifts reflect top players' capacity constraints.

Figure 26: Global ESS battery shipments by key player (Aug-26)



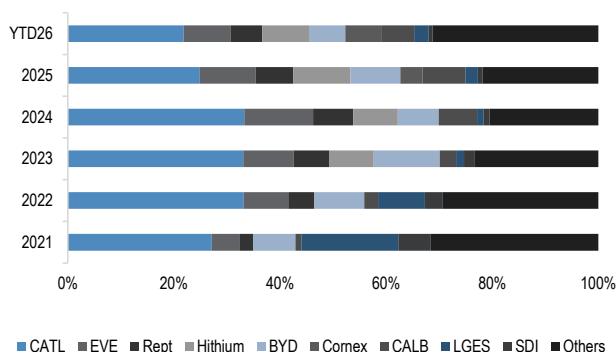
Source: ICCSino, J.P. Morgan. Note: Data are based on shipment volume and estimated by ICCSino. This can vary from companies' reported data.

Figure 27: Global ESS battery shipments by key player (YTD26)



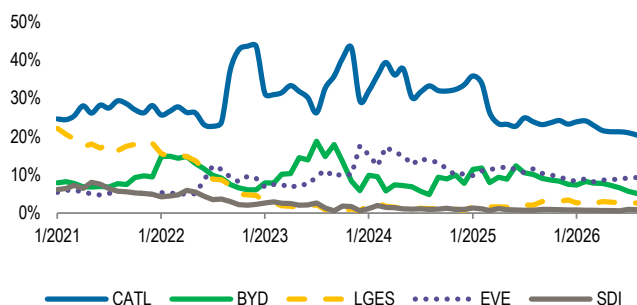
Source: ICCSino, J.P. Morgan. Note: Data are based on shipment volume and estimated by ICCSino. This can vary from companies' reported data.

Figure 28: Global ESS battery market share by key player (based on ICCSino production volume)



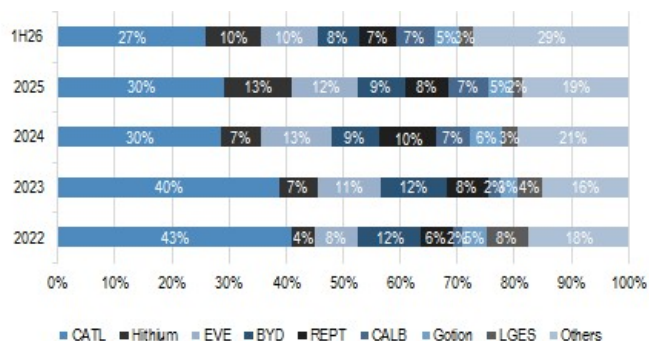
Source: ICCSino, J.P. Morgan. Note: Market share is based on production volume and estimated by ICCSino. This can vary from companies' reported data.

Figure 30: Global ESS battery market share by key player (based on production volume)



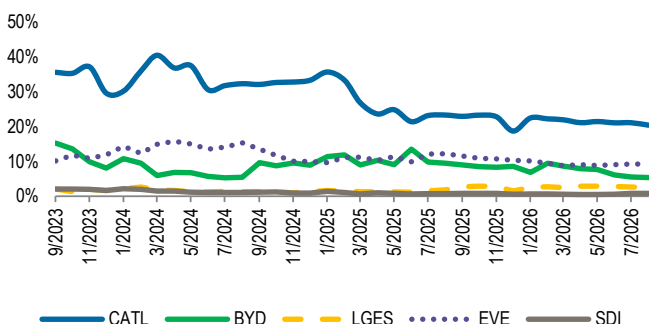
Source: ICCSino, J.P. Morgan. Note: Market share is based on shipment volume and estimated by ICCSino. This can vary from companies' reported data.

Figure 29: Global ESS battery market share by key player (shipment volume based on SNE Research)



Source: SNE, J.P. Morgan. Note: CATL's volume estimates for FY24 and FY25 were based on sales recognition and may not be compared directly to FY21-23.

Figure 31: Global ESS battery market share by key player (based on shipment volume)



Source: ICCSino, J.P. Morgan. Note: Market share is based on shipment volume and estimated by ICCSino. This can vary from companies' reported data.

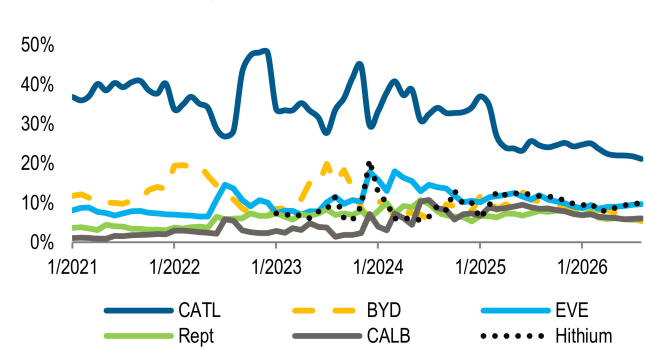
ESS battery market share by player: Chinese manufacturer breakdown

According to ICCSino, CATL and BYD's market share each fell 3ppts in 8M26 vs. FY25. EVE, Hithium and CALB market shares each fell ~2ppts. Rept market shares fell ~1ppt. Conversely, tier-3 players such as Cornex (+3%), Great Power (+2%), Ganfeng (+2%) saw their market shares increase. We believe the shifts reflect top players' capacity constraints.

By end application:

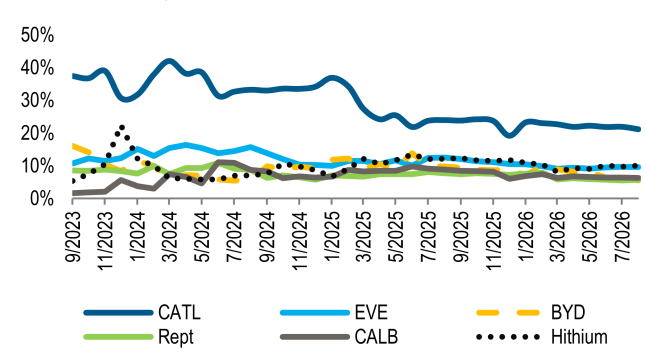
- **Utility-scale market:** CATL remains the global top player, while its market share has decreased 3ppt YTD vs. FY25.
- **Commercial & industrial:** CATL, Rept, EVE and Hithium led the C&I ESS market, together holding ~45-50% of the market YTD and 48% in FY25.
- **Residential ESS:** Rept, EVE, Great Power and BYD led the residential ESS market, together holding ~65-70% of the market YTD and 61% in FY25.

Figure 32: Chinese players' ESS battery market share breakdown (based on production volume)



Source: ICCSino

Figure 33: Chinese ESS battery market share by key player (based on shipment volume)

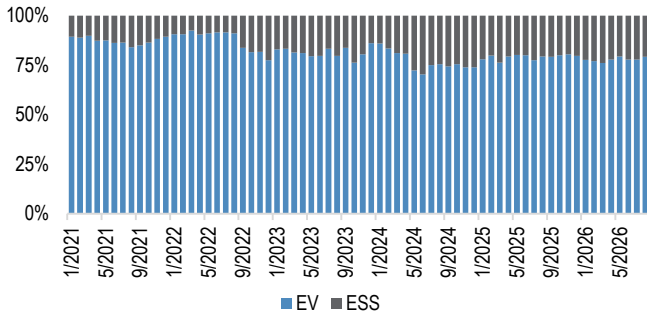


Source: ICCSino

CATL analysis

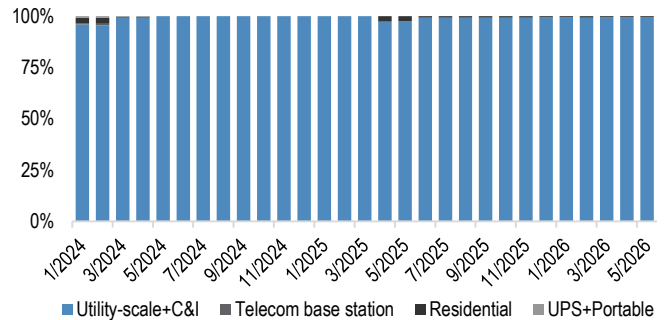
ESS accounts for ~22% of CATL's total battery production volume YTD, based on ICCSino and ZE Consulting's estimates (up from ~21% in 2025).

Figure 34: CATL's production breakdown between EV and ESS demand



Source: ICCSino, J.P. Morgan.

Figure 35: CATL's ESS shipments by end demand application

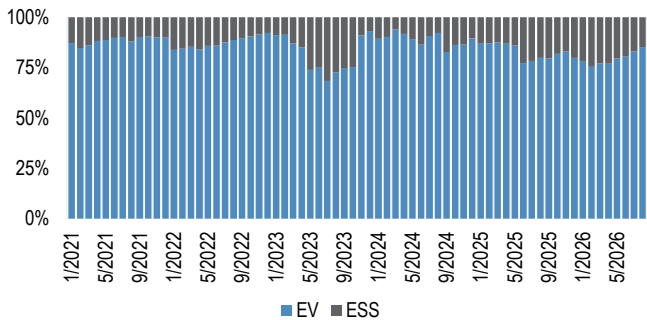


Source: ICCSino, J.P. Morgan.

BYD analysis

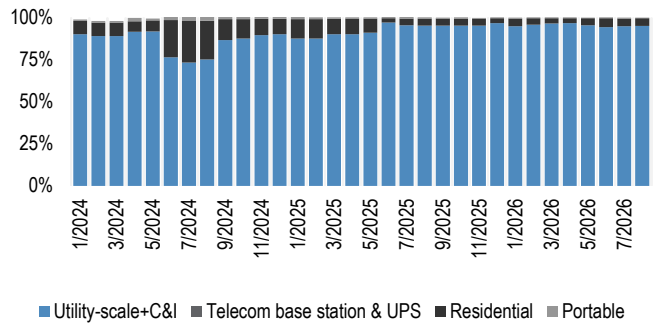
ESS accounts for 20% of BYD's total battery production volume YTD, based on ICCSino and ZE Consulting estimates, up from 17% in 2025 and 11% in 2024.

Figure 36: BYD's ESS production breakdown by EV and ESS demand



Source: ICCSino, J.P. Morgan.

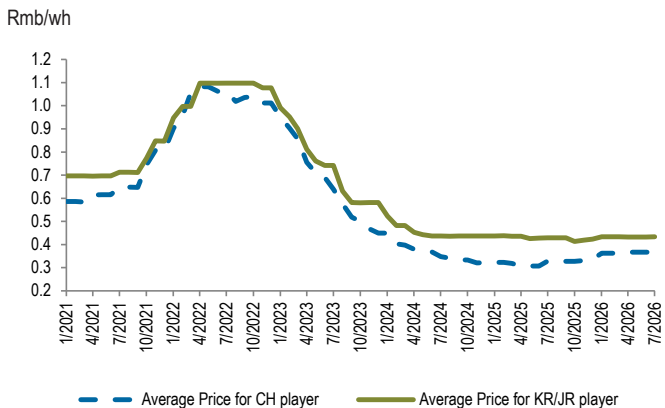
Figure 37: BYD's ESS shipments by end demand application



Source: ICCSino, J.P. Morgan.

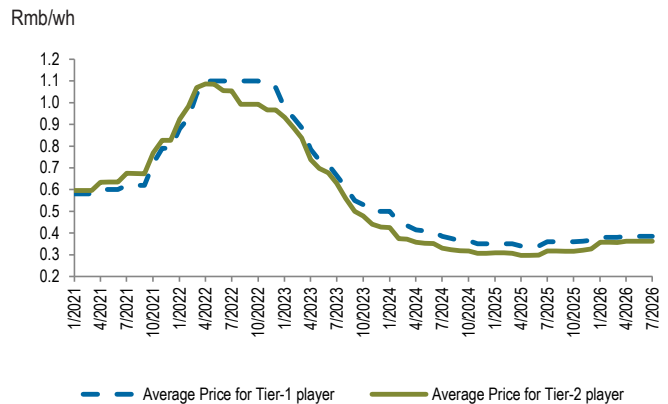
ESS battery prices

Figure 38: ESS battery prices: CH vs. KR/JP players



Source: ICCSino, J.P. Morgan. Note: Prices include VAT and are based on new contract prices.

Figure 39: ESS battery prices: Chinese tier-1 vs. tier-2



Source: ICCSino, J.P. Morgan. Note: Prices include VAT and are based on new contract prices.

Valuation comparison

Table 6: Valuation comparison of ESS-related stocks

Company	Code	Rec	Analyst	Price (LC) 16-Sep	Mkt cap (US\$ M)	P/E (x)		EV/EBITDA (x)		Dividend yield		ROE		Price change
						26E	27E	26E	27E	26E	27E	26E	27E	YTD
PCS/HVDC-related						27.1	19.6	19.7	14.6	1.2%	1.5%	21%	22%	-9%
Ginlong	300763 CH	NC	N/A	55	3,248	14.8	10.3	na	na	0.5%	0.6%	14%	17%	-23%
Ningbo Deye	605117 CH	OW	Alan Hon	85	16,168	19.6	15.5	na	na	2.5%	3.2%	43%	41%	38%
Goodwe	688390 CH	NC	N/A	59	2,143	16.1	11.9	na	na	0.7%	0.9%	24%	26%	-5%
KSTAR	002518 CH	NC	N/A	36	3,147	27.3	19.0	19.7	14.6	1.4%	2.1%	15%	18%	-25%
Sungrow	300274 CH	OW	Alan Hon	84	25,992	12.2	12.0	na	na	2.1%	2.1%	28%	23%	-51%
Sineng	300827 CH	NC	N/A	24	2,004	21.1	16.1	na	na	0.5%	0.6%	14%	15%	-29%
Zhongheng	002364 CH	NC	N/A	36	2,984	79.0	52.3	na	na	0.5%	0.6%	9%	13%	34%
ESS battery-related						35.0	20.3	9.4	7.3	0.9%	1.2%	12%	14%	-7%
CATL-A	300750 CH	OW	Rebecca Wen	303	213,157	14.7	11.9	9.3	7.3	2.7%	4.2%	26%	26%	-16%
CATL-H	3750 HK	OW	Rebecca Wen	494	213,151	20.5	16.6	9.3	7.3	2.0%	3.0%	26%	26%	-4%
CALB	3931 HK	OW	Rebecca Wen	18	3,965	10.0	7.0	7.0	5.4	0.0%	0.0%	7%	9%	-30%
EVE Energy	300014 CH	N	Rebecca Wen	49	15,774	14.6	11.9	10.3	8.2	1.7%	2.0%	15%	16%	-26%
Gotion	002074 CH	UW	Rebecca Wen	26	7,112	23.5	17.2	9.3	9.0	0.7%	0.6%	7%	9%	-33%
BYD-A	002594 CH	OW	Nick Lai	84	105,406	17.8	13.9	5.4	4.5	0.4%	0.6%	16%	18%	-14%
BYD-H	1211 HK	OW	Nick Lai	80	105,406	14.4	11.2	5.4	4.5	0.5%	0.7%	16%	18%	-17%
Pylon	688063 CH	NC	N/A	41	1,517	29.3	19.0	na	na	na	na	4%	5%	-27%
LGES	373220 KS	OW	Parsley Ong	368,500	63,072	169.9	74.1	19.4	12.6	0.0%	0.0%	2%	5%	-1%
Samsung SDI	006400 KS	OW	Sonny Lee	547,000	32,242	56.3	27.6	20.3	13.7	0.0%	0.0%	4%	7%	102%
Simple average						31.1	19.9	14.6	11.0	1.0%	1.3%	17%	18%	-8%

Source: Bloomberg Finance L.P., J.P. Morgan estimates. Note: Bloomberg consensus estimates for Not Covered (NC) stocks, J.P. Morgan estimates for all others.

J.P. Morgan flagship reports on ESS

- [China ESS Integrators: Europe-led ESS installation growth through 2027; offset by some margin pressure on costs](#), Sep-2026
- [ESS integrators and battery: Implications of the US EO to secure the US bulk-power system](#), Aug-2026
- [AIDC ESS: Reference Architectures and Early Orders Point to ESS Adoption](#), Jun-2026
- [ESS Battery: Impact of Middle East conflict on ESS demand: Expert call takeaways](#), May-2026
- [AIDC ESS: Key takes from expert call: \(1\) growth story powered by grid bottlenecks; \(2\) emerging regulatory catalyst ahead](#), May-2026
- [China ESS and Power Market Reform: Implications of the national capacity charge policy: ESS wins and genco losses](#), Jan-2026
- [ESS Battery: 960Gwh ESS battery demand next year? Takeaways from expert call with ICCSino](#), Dec-2025
- [ESS Battery: Raising forecasts by 17%; AIDC ESS use case emerging](#), Nov-2025
- [Energy Storage Installation: Lifting China & global outlook on 1\) China policy support; 2\) RE deployment; 3\) AIDC use cases](#), Nov 2025
- [ESS Battery: AIDC ESS expert call takeaways](#), Nov-2025
- [China ESS: Expert call takes: Tender strength and policy support to drive a V-shaped recovery](#), Sep-2025
- [China ESS: What is the significance of a 180GW target by 2027?](#), Sep-2025
- [Asia EV/ESS Battery: Senate draft of OBBBA accelerates US EV subsidy phaseout, but promotes ESS/critical minerals](#), Jun-2025
- [China ESS: Policy change to result in near-term headwind; V-shaped recovery is imminent as power reforms take shape](#), Feb-2025

Companies Discussed in This Report (all prices in this report as of market close on 16 September 2026, unless otherwise indicated)

BYD Company Limited - A(002594.SZ/Rmb83.96/OW), BYD Company Limited - H(1211.HK/HK\$79.20/OW), CALB(3931.HK/HK\$17.52/OW), CATL - A(300750.SZ/Rmb305.48/OW), CATL - H(3750.HK/HK\$501.00/OW), Deye - A(605117.SS/Rmb85.12/OW), EVE Energy(300014.SZ/Rmb48.66/N), Gotion High-Tech(002074.SZ/Rmb26.14/UW), LG Energy Solution(373220.KS/W365,500/OW), Nari Technology - A(600406.SS/Rmb22.02/OW), Samsung SDI(006400.KS/W541,000/OW), Sungrow - A(300274.SZ/Rmb85.18/OW)

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to LG Energy Solution, Samsung SDI or related entities.
- **Manager or Co-manager:** J.P. Morgan acted as manager or co-manager in a public offering of securities or financial instruments (as such term is defined in Directive 2014/65/EU) of/for LG Energy Solution or related entities within the past 12 months.
- **Beneficial Ownership (1% or more):** J.P. Morgan beneficially owns 1% or more of a class of common equity securities of LG Energy Solution or related entities.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: LG Energy Solution, Samsung SDI or related entities.
- **Client/Investment Banking:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as investment banking clients: LG Energy Solution or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: LG Energy Solution, Samsung SDI or related entities.
- **Client/Non-Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-securities-related: LG Energy Solution or related entities.
- **Investment Banking Compensation Received:** J.P. Morgan has received in the past 12 months compensation for investment banking services from LG Energy Solution or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from LG Energy Solution, Samsung SDI or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from LG Energy Solution, Samsung SDI or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of LG Energy Solution, Samsung SDI or related entities, if any.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan-covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

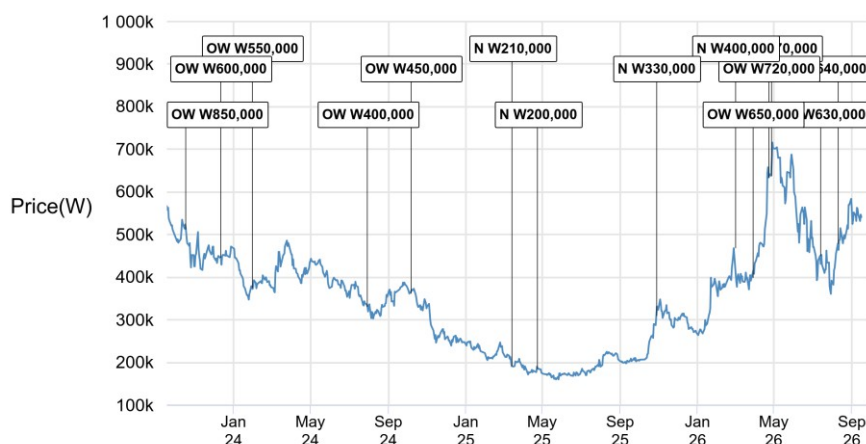
LG Energy Solution (373220.KS, 373220 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Apr 21, 2022. All share prices are as of market close on the previous business day.

Date	Rating	Price (W)	Price Target (W)
26-Oct-23	OW	409500	570,000
25-Jan-24	OW	380500	475,000
23-Apr-24	OW	378500	430,000
28-Jul-24	N	325000	330,000
08-Oct-24	N	420000	370,000
09-Nov-24	N	398500	340,000
09-Jul-25	OW	307000	360,000
27-Jul-25	OW	363500	420,000
27-Oct-25	OW	486500	580,000
24-Dec-25	OW	390000	500,000
09-Jan-26	OW	369500	430,000
08-Feb-26	OW	389500	450,000
22-Apr-26	OW	488000	510,000
30-Apr-26	OW	473000	530,000
07-Jul-26	OW	354500	430,000
30-Jul-26	OW	302000	400,000

Samsung SDI (006400.KS, 006400 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jul 23, 2003. All share prices are as of market close on the previous business day.

Date	Rating	Price (W)	Price Target (W)
19-Oct-23	OW	512000	850,000
12-Dec-23	OW	446000	600,000
31-Jan-24	OW	374500	550,000
31-Jul-24	OW	330500	400,000
07-Oct-24	OW	361500	450,000
16-Mar-25	N	191400	210,000
25-Apr-25	N	184700	200,000
29-Oct-25	N	309000	330,000
02-Mar-26	N	468000	400,000
30-Mar-26	OW	398500	650,000
24-Apr-26	OW	634000	720,000
28-Apr-26	OW	638000	770,000
14-Jul-26	OW	450000	630,000
11-Aug-26	OW	478500	640,000

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, <https://www.jpmorganmarkets.com>.

Coverage Universe: Wen, Rebecca Y: CALB (3931.HK), CATL - A (300750.SZ), CATL - H (3750.HK), Dynanonic - A (300769.SZ), EVE Energy (300014.SZ), Fuyao Glass - A (600660.SS), Fuyao Glass - H (3606.HK), Gotion High-Tech (002074.SZ), Hunan Yuneng - A (301358.SZ), Minth (0425.HK), Nexteer (1316.HK), Ningbo Joyson (600699.SS), Ningbo Tuopu (601689.SS), Putailai (603659.SS), Ronbay -

A (688005.SS), Wuxi Lead - A (300450.SZ), Wuxi Lead - H (470.HK), Yunnan Energy (002812.SZ) **Hon, Alan** : Arctech - A (688408.SS), CGN Power (1816) (1816.HK), Daqo (DQ), Datang Renewable (1798) (1798.HK), Deye - A (605117.SS), Envicool - A (002837.SZ), Flat Glass (6865.HK), GCL Tech (3800.HK), Goldwind - A (002202.SZ), Goldwind - H (2208.HK), Hangzhou First - A (603806.SS), Huaneng Hydropower - A (600025.SS), LONGi Green - A (601012.SS), Longyuan (0916) (0916.HK), Maxwell - A (300751.SZ), Mingyang - A (601615.SS), Orient Cables - A (603606.SS), SDIC Power - A (600886.SS), Shenzhen SC - A (300724.SZ), Sichuan Chuantou - A (600674.SS), Sungrow - A (300274.SZ), Tongwei - A (600438.SS), Xinyi Solar (0968) (0968.HK), Yangtze Power - A (600900.SS)

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, <http://www.jpmorganmarkets.com>. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Digital assets, which may also be referred to as virtual or crypto assets or crypto currencies (e.g. bitcoin), discussed in this research report are subject to a rapidly changing regulatory landscape. The application of relevant laws in respect of such assets may be unsettled, and the legality of any digital asset investment may be unclear. Prior to making any investment decision regarding any digital asset, investors should seek their own legal advice and be aware of any legal considerations regarding the purchase, holding or selling of such an investment. For relevant

regulatory advisories on digital assets, including bitcoin and ethereum, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC (“JPMS”) acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries (“J.P. Morgan Private Bank”), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina (“BCRA”- Central Bank of Argentina) and Comisión Nacional de Valores (“CNV”- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited (“JPMSAL”) (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to “wholesale clients” (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissão de Valores Mobiliários (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P. Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes.

Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für ^{Finanzüberwachung} tungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - ¹²³⁴⁵⁶⁷⁸⁹⁰ 68724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai - 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number - INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: <http://www.jpmpil.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasad K, jpmpil.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpmpil.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange ("Bolsa Mexicana de Valores") and the Institutional Stock Exchange ("Bolsa Institucional de Valores"), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission ("Comisión Nacional Bancaria y de Valores").

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMS) [MDDI (P) 070/08/2026 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A

of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of “accredited investors,” “expert investors” or “institutional investors,” as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMSS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange (“Non-Taiwan Listed Securities”), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the “Important Disclosures” in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumpini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc (“JPMS plc”) which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited (“JPML Ltd”) which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 (“the FPO”); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as “UK relevant persons”. This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA’s policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC (“JPMS”) is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and

should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Any mentions of third-party trademarks, brand names, products, and services are for referential purposes only and any mention thereof is not meant to imply any sponsorship, endorsement, or affiliation.

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised August 29, 2026.

Copyright 2026 JPMorgan Chase & Co. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party ("J.P. Morgan Data") in any third-party artificial intelligence ("AI") systems or models when such J.P. Morgan Data is accessible by a third-party.

Completed 16 Sep 2026 11:57 PM HKT

Disseminated 16 Sep 2026 11:57 PM HKT